is demand surging like this? Because per capita consumption, 19.7 kg in FY23, is climbing steadily as incomes rise, diets shift toward processed foods, and restaurants and food businesses multiply. NITI Aayog reckons we'll hit 25.3 kg by 2028. At today's prices, PM Modi's "10 per cent cut", if Indians heed that call, would save almost $2 billion (Rs 19,000 crore).

This was the dependence the war walked into, and the bill mounted the longer the strait stayed shut. The import basket has shifted lately; palm oil's traditional 55-60 per cent share slipped to 47 per cent last year as its price climbed. Refiners have now turned to soft oils, with soybean imports hitting a record 5.47 MT out of Argentina and Brazil, and sunflower around 3 MT, coming mostly from Russia and Ukraine. The country will produce about 9.6 MT of edible oils this year and import perhaps 16.7 MT. For the exchequer, the war has made the arithmetic punishing. The import tab for the first half of this oil year (Nov. 1-Oct. 31) worked out to Rs 87,000 crore,

**UNLIKE FOODGRAINS, THE MSP FOR OILSEEDS COVERS ONLY 25 PER CENT OF THE CROP FOR A BRIEF WINDOW, IF MARKET PRICES FALL 10 PER CENT BELOW THE DESIGNATED RATE**

Rs 14,000 crore more than the year before and on course for an annual jump of near Rs 30,000 crore.

India has spent the better part of a decade trying to reduce that burden, with MSPs for mustard, soybean, sunflower and groundnut raised in multiple cycles. However, unlike rice/wheat, this is a qualified form of emergency price support covering only 25 per cent of the crop for a brief window, if market prices fall 10 per cent below the designated rate. Still, it has helped buoy oilseed production by 55 per cent—with an 18 per cent increase in acreage, and 432 improved varieties allowing for a 31 per cent better yield per acre.

## Ending Cooking Oil Imports

Giving a distinct focus to the push for self-sufficiency was the Modi government's two-pronged National Mission on Edible Oils (NMEO). The Rs 11,040 crore NMEO-Oil Palm, launched in 2021, aimed to expand the crop across the Northeast, Andaman & Nicobar, parts of Andhra Pradesh and Kerala. NMEO-Oilseeds, launched in October 2024, targets a near-doubling of raw crop output to 69.7 MT. When crushed, that will yield about 21 MT of edible oil. Together, the two missions are targeting 25.45 MT by 2030-31—meeting around 72 per cent of projected demand.

The oil palm forms a riddle within this. A perennial tree yielding heavy, oil-rich fruit year-round, it's an undisputed leader in land-use efficiency: a hectare gives four to five tonnes of palm oil, a yield 10 times higher than other oilseeds. But



*Illustration by* **BANDEEP SINGH / AI**

there's a trade-off with water: mustard calls for only 3.1 million litres (ml) per hectare; oil palms need up to 18 ml. This creates tension with irrigation priorities. Which is why NMEO-OP targets rainfall-rich areas, but here they often replace tropical forests—the devastating consequences of which are well-known from Indonesia and Malaysia. Therefore, caution accompanies progress. By November 2025, total oil palm coverage had reached 0.62 million hectares and production had doubled in a decade. But we are still below 5 per cent of our average annual import of about 8 MT. Progress is further slowed by a gestation period of 4-5 years for a new plantation, which deters small farmers. Even the mission's own ceiling, in a best case, projects yield rising to only 1.2 MT by 2030.

The wider oilseed scenario is equally vexed, with average yields of 1,294-1,408 kg per hectare, less than half of the 3,000-3,200 that the US and Brazil regularly hit with soybean. This flows from the same gaps that pulses suffer from: technology, seed quality, broken market linkages. The government also needs to balance the needs of farmers and consumers, which necessitates contradictory moves. In September 2024, customs duty was nearly quadrupled on three main oils—bringing effective rates to 27.5 per cent—to support farmers, but that led to a